Brazil Macro Monthly

Copom: pause, then wait and see

- We see the Fed starting its easing cycle in December. The later start should not prevent rate cuts in other regions in the short term, but might limit the pace and extent of monetary easing going forward. Meanwhile, geopolitical tensions remain a risk;
- In Brazil, we kept our GDP growth projections at 2.2% this year and 1.7% next year. Nonetheless, we acknowledge higher uncertainties in the short term, with bullish and bearish factors;
- Short-term results and revisions to revenue-raising measures have taken our 2024 central government deficit projection from 0.6% to 0.5% of GDP. For 2025, we maintain our 0.7% of GDP deficit forecast, but debt should rise further amid higher interest rates;
- Despite the risks, we continue to project the exchange rate at BRL/USD 5.00 at 2024YE and 5.15 at 2025YE, in line with the effects of the widening interest rate differential and due to the fundamentals indicating that, at current levels, the BRL is devalued;
- Short-term inflation remains well-behaved amid deteriorating expectations, uncertainties about Rio Grande do Sul, and the tight labor market. We forecast IPCA at 3.7% in 2024 and 4.0% in 2025, unchanged from before;
- Monetary policy challenges increased with rising inflation expectations. We believe the Copom will pause its easing cycle at the next meeting. Considering the unusual amount of uncertainty, we keep our Selic rate forecast flat until the end 2025 for now.

Caio Megale
Chief Economist

Andres Pardo
Chief Latam Strategist

Rodolfo Margato
Economist

Tiago Sbardelotto
Economist

Alexandre Maluf
Economist

Francisco Nobre
Economist

Luiza Pineze
Intern

Contact
economiaxp@xpi.com.br

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.2	1.7
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.3	7.5
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.7	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.50	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.00	5.15
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-1.0
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.5	-0.7
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.8
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.3	80.5
Trade Balance (USD Bn)	26.5	32.4	36.4	44.2	80.5	65.0	70.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	348.0	365.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	283.0	295.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-40.5	-37.5
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.8	-1.6
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	67.0	73.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.0	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,260	2,408
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,529	12,231

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

Foreword – Will ends meet?

We did not make substantial changes to our Brazilian economic forecast this month. We still see growth at around potential this year and in 2025, inflation should remain above the 3.0% target but below the upper bound of the target range (4.5%), the BRL should behave similarly to other EM currencies, and the terminal Selic rate will probably be a bit above what we previously forecasted (10.50% vs 10.00%).

Despite those minor changes to the baseline forecasts, some underlying trends raise questions about whether the Brazilian economy is indeed balanced.

Government expenditures are growing well above inflation, and this trend will continue in the years to come. The fiscal deficit remains stubbornly high despite astonishingly strong tax revenue growth. The debt-to-GDP rate is on the rise, with no signs of stabilization.

It has nothing to do with the need to help Rio Grande do Sul state overcome the dramatic effects of the recent flooding. As was the case during the pandemic, government programs focused on the event are more than welcome. But they should not be an excuse to overspend in other areas (this risk remains).

On the back of expansionary fiscal policy, labor market is getting increasingly heated. This is good news but may not be consistent with a neutral monetary policy and stable inflation. Will the central bank have the tools to act when (and if) inflation surpasses the target range?

Another relevant concern, globally this time around, is the escalation of geopolitical tensions and of political populism. This is not our specialty, but it will certainly impact the economic balance between relevant regions of the world.

These and other potential imbalances keep volatility high and increase the challenge of anticipating market and economic trends. Still, we try our best in this report to shed some light on possible paths ahead for Brazil.

Global backdrop – Fed (in)dependence

Francisco Nobre

April data in the US was better for the Fed, but not good enough yet. Indicators came in softer than in Q1, showing signs that economic activity is decelerating and that the labor market is cooling amid tight monetary policy. However, inflation readings are still stronger than levels consistent with the Fed's target, which is especially the case for the services sector. Meanwhile, despite the May FOMC meeting minutes having revealed that the possibility of rate hikes was discussed, the most recent speeches from a range of policymakers suggest that the committee's flight plan is to hold rates at current levels for longer.

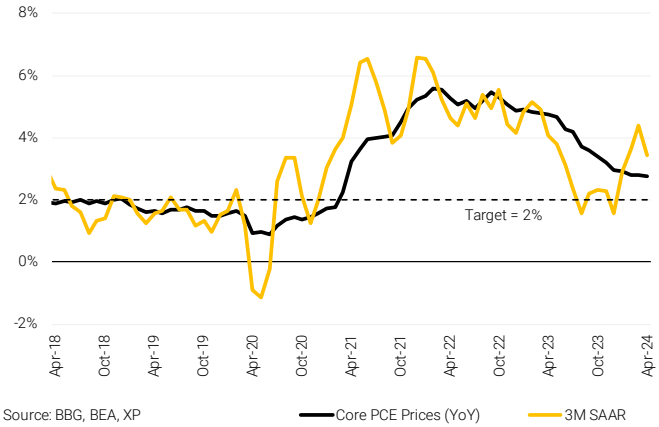
The Fed's easing cycle to start in December. We see a gradual disinflation ahead, with core PCE inflation at around 3.0% by the end of the year, still above target. Sticky prices require a cautious approach by the Fed, making the last meeting of the year the most appropriate timing for the start of the easing cycle. Rates should reach 3.5% in 2026, which we consider the new neutral level.

The later start to the Fed's easing cycle should not prevent rate cuts in other regions in the short term. Historically, the Fed tends to lead monetary policy around the world. Nonetheless, this time, central banks in other developed economies are expected to cut even with the Fed on hold due to the more benign inflation outlook domestically. In the Eurozone, the ECB is set to start its easing cycle at its June meeting, in line with our longstanding call. Meanwhile, in the UK, the Bank of England is also laying the ground to cut rates soon, although April's data made the outlook cloudier.

The same applies to emerging economies, particularly in Latin America. Most central banks in the region have already started to adjust their nominal policy rates. In the very short term, the pace is expected to be primarily determined by domestic factors. Still, in all cases, **US rates might curb the pace and extent of rate cuts going forward**. The most direct impact tends to be on currencies, which, in the case of significant weakening, could add pressure on imported prices and inflation expectations. For now, we do not see a further strengthening of the USD on the horizon, given that market pricing seems to have already converged close to our baseline scenario.

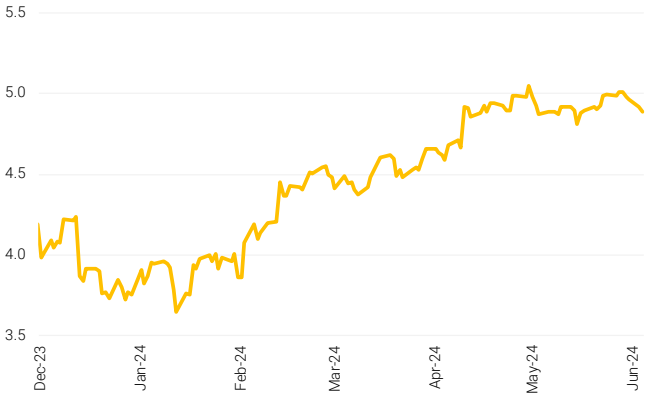
China increased efforts to boost growth and protect the crisis in the property sector. The government removed the floor on mortgage rates, and the central bank has prepared a USD 42 billion package to finance property purchases by state governments. These measures aim to reestablish confidence in the economy. Meanwhile, activity indicators have been mixed, suggesting that further stimuli will be necessary to achieve the government's 5% growth target for 2024. Our view

US disinflation is not yet complete
Core PCE Deflator



Source: BBG, BEA, XP

Higher market pricing for the Fed funds rate at the end of 2024
Implied by interest rate swaps, December 2024 (annual rate, %)

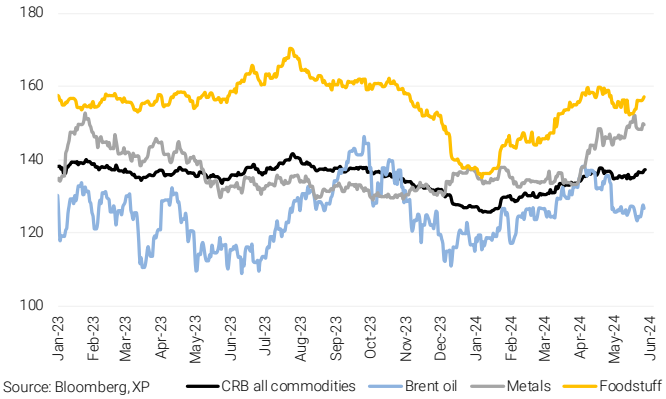


Source: Bloomberg, XP

remains that China's structural growth will likely be weaker going forward amid the weak labor market, low consumption growth, and crisis in the property sector. Against this backdrop, price pressures should remain low.

Geopolitical tensions remain a risk to the global economy. Commodity prices have been relatively well-behaved since the uptick in Q1. Still, conflicts in the Middle East and Ukraine are far from resolved, posing upside risks. Moreover, trade tensions between China and the US are growing, which may also pressure imported prices going forward.

Average commodity prices remains stable, allthough with rising metals and falling oil prices
CRB commodity price index (Jan/20=100)



Source: Bloomberg, XP

BRAZIL – Copom: pause, then wait and see

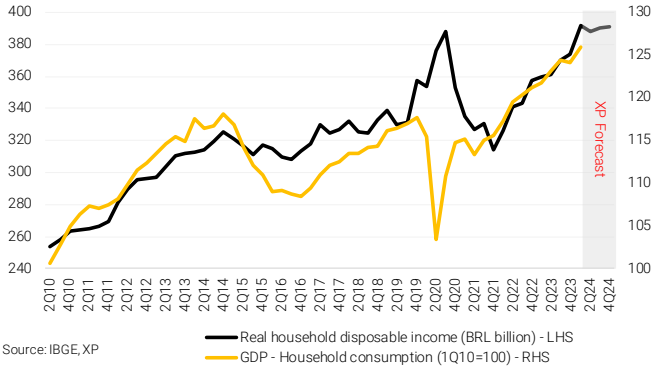
Activity – GDP forecasts maintained amid higher uncertainty

Rodolfo Margato

Our projection for 2024 GDP growth remains at 2.2%. However, we recognize higher uncertainties in the short term, with bullish and bearish factors.

On the one hand, GDP grew above expectations in 1Q… Total GDP rose by 0.8% QoQ in 1Q, above our expectation of 0.6% QoQ. Its sectoral breakdown showed encouraging signs, especially the expansion in most service activities. On the demand side, the resilience of household consumption and rebounding investments stood out. For a detailed analysis of 1Q GDP results, click here.

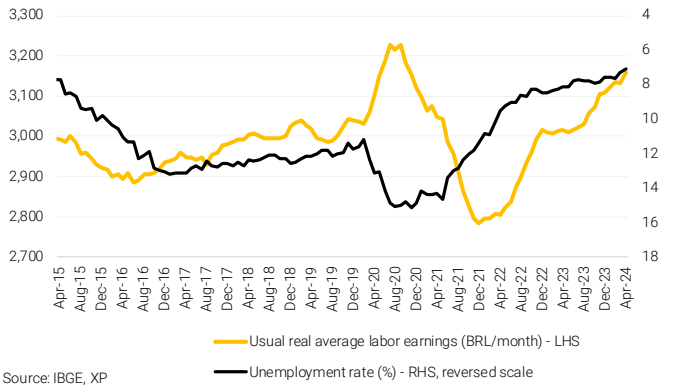
Increase in real disposable income boosted household consumption in early 2024
Seasonally adjusted series



Source: IBGE, XP

… and labor market figures are even stronger. Net job creation steam in the first months of 2024. According to the CAGED report, there was a 960k gain of formal occupations between January and April 2024, well above the 720k recorded in the same period of 2023. The PNAD survey also showed a stronger growth rate in the employed population, considering both formal and informal categories. The unemployment rate fell to around 7% in April (monthly seasonally adjusted estimates), the lowest level in almost ten years. In this context, real wages have been rising since the end of 2023, and recent results have also surprised upwards. The real aggregate labor income – which combines employed population and real average labor earnings – jumped approximately 6% in the last 12 months. The scenario of a heated labor market is expected to persist in the coming months, supporting domestic demand.

Unemployment rate close to 7% and real wages on the rise
Seasonally adjusted series



Source: IBGE, XP

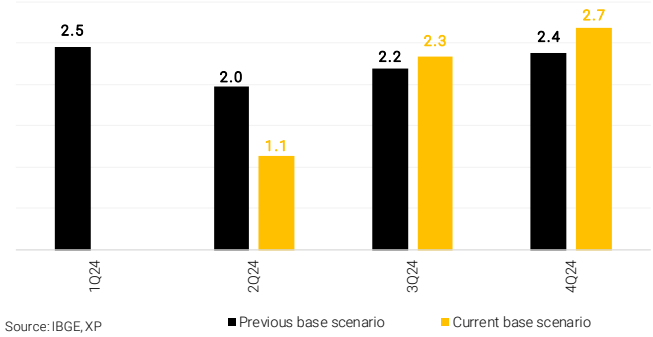
On the other hand, the effects of the natural disaster in Rio Grande do Sul... The floods in the state of Rio Grande do Sul

are expected to significantly impact economic activity indicators for 2Q. The region is an important supplier of agricultural products (albeit considering harvests were at an advanced stage before the floods), in addition to having a diversified industry that is of great importance at a national level. According to our preliminary calculations, the negative shock in Rio Grande do Sul will reduce Brazil's GDP by around 1pp in 2Q24 compared to 2Q23 – our projection fell to approximately 1% from 2%. We anticipate a partial payback throughout the second half of the year, on the heels of emergency government measures (income transfers and subsidized lending) and first reconstruction efforts. Even so, we estimate a net negative impact on Brazil's GDP growth this year of between 0.2pp and 0.3pp.

... and tighter monetary conditions pose risks. As discussed in the *Monetary Policy* section of this report, the increase in inflation expectations, the tight labor market and the adverse global scenario reduce the room for additional interest rate cuts. The more contractionary degree of monetary policy should counterbalance the expansionary effects of fiscal policy. Therefore, we maintain the forecast of more moderate economic growth in the coming quarters (close to potential).

We expect GDP to rise by 1.7% in 2025. Despite changes to our monetary policy scenario, our expectation for 2025 GDP growth remains unchanged, owing to the effects of infrastructure reconstruction in Rio Grande do Sul.

Floods in Rio Grande do Sul will hit 2Q GDP growth
YoY (%)



Source: IBGE, XP

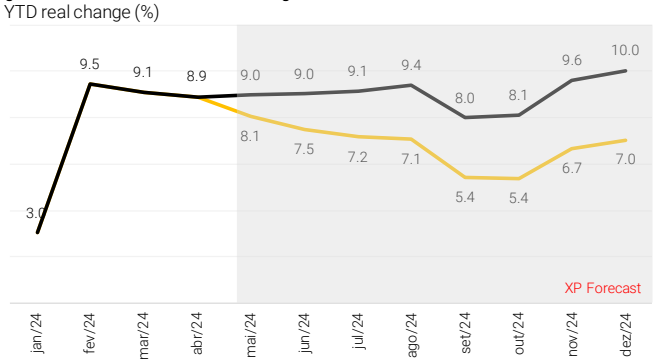
Public finance – Despite a slight improvement in results, risks remain high

Tiago Sbardelotto

Positive results in the short term, but below what is needed to reach the primary balance target. The central government achieved a BRL 11.1 billion surplus in April. Net revenue grew by 8.4% in real terms compared to the previous year, while total expenditure grew by 12.4%, driven by the advanced payment of the additional monthly salary (13th salary) for social security benefits. Despite the positive result, there is a slowdown in net revenue growth - a sign that some of the measures to increase revenue have underperformed.

We have revised our projection for 2024. In general terms, we see that revenue has been growing slightly above our initial estimates due to the higher-than-expected impact of imposed tax compensation limits. In addition, we have included in our scenario the distribution of Petrobras' extraordinary dividends (BRL 12 billion) and revised the possible gains from tax transactions. As a result, the estimated deficit for 2024 went from BRL 67.1 billion (0.6% of GDP) to BRL 60.6 billion (0.5% of

Net revenue must grow by 10% above inflation for the government to meet the fiscal target
YTD real change (%)



Source: STN, XP
Net revenue (XP estimate)
Net revenue (target)

GDP), excluding the extraordinary expenses with the aid to Rio Grande do Sul.

Aid to Rio Grande do Sul should increase the primary deficit this year. So far, the federal government has allocated approximately BRL 21 billion in extraordinary expenses to manage the public calamity in Rio Grande do Sul, which should increase the primary deficit to BRL 80.5 billion (0.7% of GDP). **We should note, however, that rebuilding the state will require significantly more money, bringing the deficit closer to BRL 100 billion (1% of GDP).**

Revenues from concessions, CARF and tax transactions, and expenditures from pensions and social assistance remain the main risks. The measures related to tax transactions and CARF, which account for the bulk of the ongoing adjustment, had very limited impact on tax collection up to April. As such, there is a growing risk that their performance will fall short of initial estimates. On the expenditure side, social security and welfare benefits continue to grow well above inflation. We believe this reinforces that expenditures are underestimated by BRL 16 billion this year. With the spending limit in place, this implies that the government will have to block discretionary spending in the coming months.

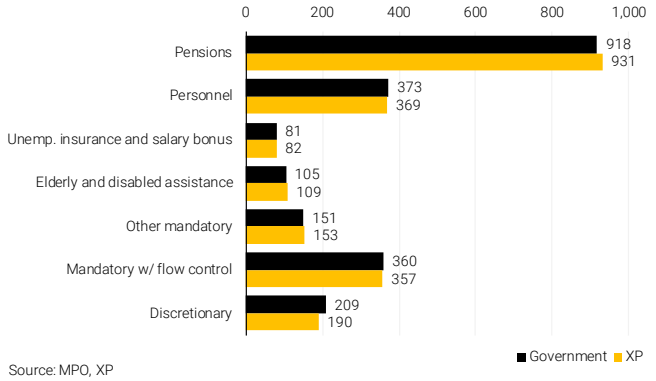
Court-ordered debt add pressure to the 2025 result. There was a slight improvement in the primary result indicator for calculating the target (that excludes a part of court-ordered debt), which should reach a deficit of BRL 80.2 billion (0.7% of GDP) compared to BRL 82.9 billion (0.7% of GDP) in our previous projection. However, due to an increase in expenditure on court-ordered debt (from BRL 89 billion to BRL 103 billion), **we expect a deficit of BRL 122.4 billion (1.0% of GDP) for the headline primary balance.**

States and municipalities show recovery. Subnational entities presented a BRL 1.4 billion deficit in April, which was driven by municipalities, probably reflecting anticipated spending due to the electoral cycle. Despite the lower-than-expected result in the short term, we continue to have a more positive outlook for states and municipalities this year, in the wake of the recovery in ICMS tax collection and greater transfers from the federal government. As a result, we estimate a deficit of BRL 61.3 billion in 2024 (0.5% of GDP) and BRL 109.4 billion in 2024 (0.9% of GDP) for the consolidated public sector.

Public debt continues to trend upwards. The change to our interest rate projection (see monetary policy section) affects all nominal interest payments, with a more significant impact on the implicit debt rate next year. As a result, we assess that there has been a worsening of the debt trend over the analysis horizon; our projections indicate that the ratio of general government gross debt (GGGD) to GDP should reach 77.3% in 2024 and 80.5% in 2025 (compared to 77.1% and 79.8% in the previous projection).

Compensation for payroll tax relief could help the primary balance target. The government has announced that it will

Mandatory spending remains underestimated in the budget
Spending (BRL Bn)



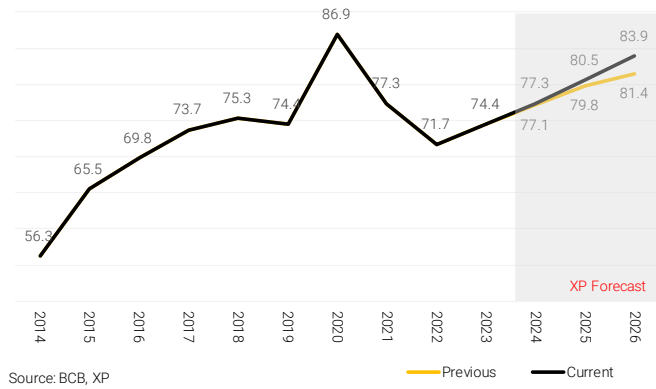
Source: MPO, XP

BRL Bn

Revenue raising measures	Government		XP	Collected by April
	1th Bimonthly report	2th Bimonthly report		
Change on ICMS subsides	25.9	25.9	24.3	NI
Online bets taxation	0.7	0.7	2.8	-
E-commerce taxation	-	-	1.0	-
Exclusive funds taxation	13.3	-	15.5	12.2
Taxation of investments abroad	5.6	5.6	5.3	-
Change of interest on equity (IoE)	-	-	2.0	-
Credit recovery at board of tax appeals (CARF)	55.6	55.6	30.0	NI
Tax transactions	43.2	43.2	15.0	NI
Review of railway concession contracts	17.2	10.8	6.0	-
Payroll tax exemption	-15.8	-15.8	-6.0	-5.3
Change in events sector tax exemption (PERSE)	6.0	6.0	-	-
Social security tax relief for municipalities	-2.5	-2.5	-4.2	-3.3
Limiting tax compensations	24.0	24.0	20.0	NI
Petrobras extraordinary dividends	-	12.0	12.0	-
Total	**173.3**	**165.5**	**123.7**	**3.6**

Source: 2024 budget, bimontly report, XP
NI: Not informed

Debt should rise, driven by interest payments
General government gross debt (% of GDP)



Source: BCB, XP

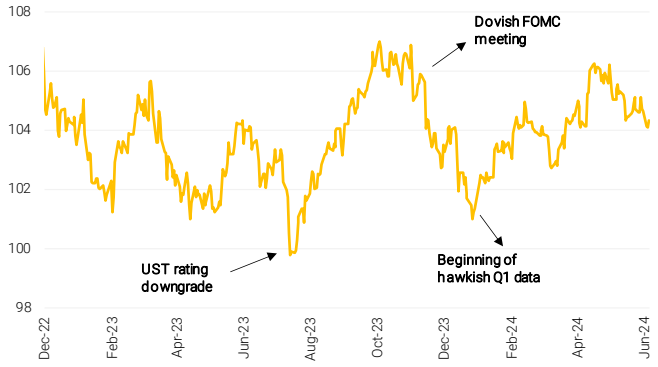
present a compensation measure for the payroll tax exemption, amounting to BRL 25.8 billion. Our estimates consider the maintenance of payroll tax exemption for economic sectors and municipalities, with partial compensation for half the year. Therefore, if government manages to approve full compensation for the benefits, our projection should improve by approximately BRL 12 billion, coming closer to the lower limit of the target. **We still consider highly unlikely that government reaches the present target, but we note an improvement at the margin since our previous report**.

External Accounts – The exchange rate will remain under pressure in the short term

Rodolfo Margato

The exchange rate remains depreciated amid greater risk perception, having reached BRL/USD 5.30, after fluctuating between BRL/USD 5.07 and BRL/USD 5.20 in recent weeks. The global scenario has not brought major changes, with persistent geopolitical tensions and expectations that the US easing cycle will begin only at the end of the year (see the *Global Backdrop* section). On the domestic front, concerns about the conduct of monetary policy and the unanchoring of inflation expectations have added to uncertainties surrounding fiscal accounts.

Stronger USD pressures the BRL
DXY dollar index

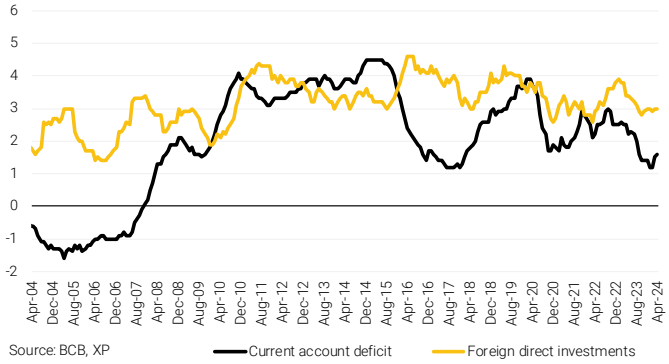


Source: Bloomberg, XP

We see room for moderate appreciation by the end of 2024. The exchange rate is likely to remain under pressure in the coming months. By the end of the year, our models point to levels close to BRL/USD 5.00, considering the effects of a widening interest rate differential due to a higher terminal Selic rate and the start of the Fed's monetary policy easing cycle. Besides, the fundamentals indicate that, at the current levels, the BRL is devalued. Despite recognizing that risks are tilted to the upside, we maintain our exchange rate projections at BRL/USD 5.00 by the end of 2024 and BRL/USD 5.15 by the end of 2025.

Despite falling export prices, the trade balance is expected to remain high in 2024. The trade balance began the year with a robust performance, driven by strong export volume growth. However, recent months have lost momentum due to declining prices of key export products, notably iron ore and soybeans. Meanwhile, imports have increased, mainly reflecting higher demand for capital goods amid a recovery in fixed asset investments. **We project the trade balance to remain elevated**

External financing remains healthy despite marginal deterioration in the current account
12M (% of GDP)



Source: BCB, XP

at USD 65.0 billion in 2024 and USD 70.0 billion in 2025, considering the Central Bank's methodology.

Current account has worsened at the margin, but the recovery of foreign direct investments provides some reassurance. The current account deficit exceeded expectations in the last two readings, largely due to a higher deficit in services and primary income accounts. Nonetheless, we believe the current account deficit will remain below the historical average, aligned with the robust trade balance. **We forecast a deficit of USD 40.5 billion at the end of 2024 (1.8% of GDP) and USD 37.5 billion at the end of 2025 (1.6% of GDP).** Meanwhile, we see a consistent recovery in Foreign Direct Investment (FDI) after last year's slowdown, with projected net inflows of USD 67.0 billion this year (3.0% of GDP) and USD 73.0 billion next year (3.0% of GDP). **Thus, the outlook for healthy external financing persists.**

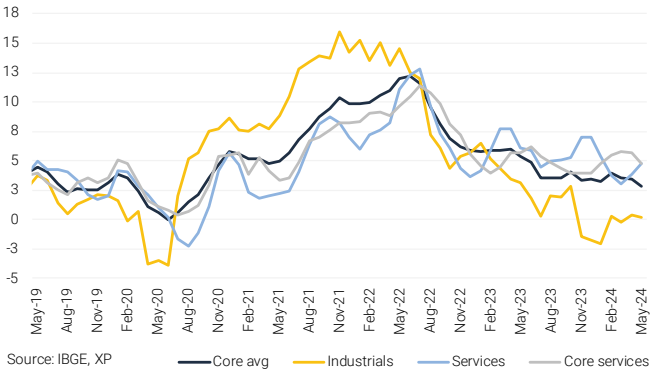
Inflation – Deterioration of expectations despite a benign short-term outlook

Alexandre Maluf

Underlying inflation continues to improve. As mentioned, short-term inflation has surprised positively, especially in the underlying metrics that are most important for the Central Bank. The 3M SAAR of the May IPCA-15 (mid-month reading) showed that the average of the inflation cores is hovering over the inflation target (chart). The group of underlying services - which exclude volatile items - and labor-intensive services have cooled down, although they remain at high levels. The short-term improvement is also associated with industrial goods inflation close to zero. **Therefore, we see the recent numbers as consistent with our projection of 3.7% for the IPCA in 2023.**

Goods inflation remains well-behaved, while services run above the target

IPCA-15 3MMA (%)



Source: IBGE, XP

Tragedy in Rio Grande do Sul poses risk in the short term. The losses from the floods in Rio Grande do Sul are still being assessed. On the inflation front, the state's prominence in grain production, such as rice and soybeans, is the main risk, although the harvests had almost been completed when the floods began, and limited losses have been reported. In the case of rice, the government's import policy should also ensure domestic supply. Therefore, short-term price increases should dissipate throughout the year. The same applies to fruits and vegetables, milk, poltry, and other important food items that are produced by the state.

Rio Grande do Sul tragedy has a limited impact on grain production (Thousand tons.)

	Estimated losses	BZ Production	Share of production lost
Soybean	2714	147685	1.8%
Rice	161	10495	1.5%
Corn	354	111636	0.0%

Source: Conab, Emater/RS, XP

However, the direct and indirect effects of the tragedy on services and industrial goods are more difficult to quantify. Logistics costs, restrictions at ports, and losses of agricultural and industry factor inputs have been reported in the state, but these have been only somewhat captured by price surveys, making it challenging to estimate the impact. According to IBGE, 70% of price collection for IPCA-15 had already been conducted before the floods, so we will have a better

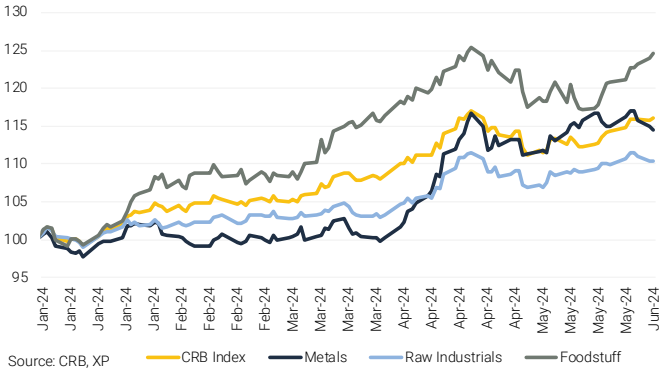
understanding of the real impact on prices in the May IPCA, to be released on June 11. Preliminary data shows that inflation in Porto Alegre increased by 0.86% m/m in May, well above the headline (0.44%), with a significant increase in fresh food prices.

In all, we estimate that the climate crisis has the potential to increase this year's IPCA by 0.1pp to 0.2pp IPCA.

An increasingly heated labor market is a warning sign for prospective inflation. As written in the Economic Activity section, labor market indicators have shown greater-than-expected strength. A highlight is the growth of real wages, which accelerated again in April, according to the continuous PNAD report. If this trend continues, it could represent an upward pressure on future inflation. This remains a topic of increased discussion, and we are working to quantify the potential impacts of a tight labor market on the IPCA going forward.

Medium-term expectations deteriorating. As we have been saying for some time, we project inflation at 4.0% in 2025. If it were not for the recent adjustments to our Selic rate trajectory, we would revise our number for next year upwards. The elements that justified our view of higher inflation seem to be materializing, such as a heated domestic economy and a tight labor market on the back of expansionary fiscal policy, and the rebound of industrial prices. In that sense, inflation expectations captured by the Central Bank's Focus report have risen not only for 2025 but also for 2026, reflecting uncertainties about the conduct of monetary policy in the coming years.

Commodity prices and BRL depreciation threaten prospective inflation
CRB in BRL. Dec/23 = 100.



Monetary Policy – Pause for reevaluation

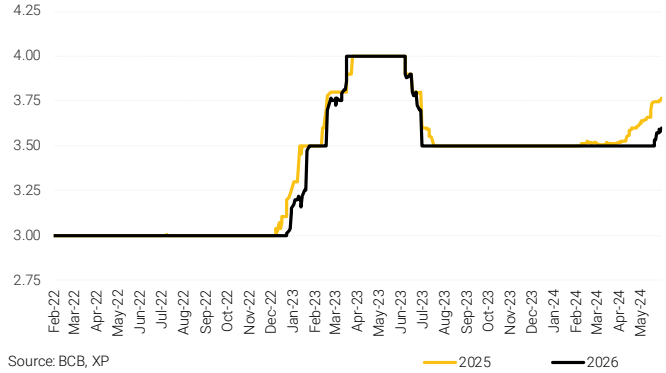
Caio Megale

Monetary policy challenges have increased since the last Copom meeting. Inflation expectations rose - drifting further away from the 3.0% target – due to averse global scenario, domestic fiscal uncertainties, tight labor market and credibility issues from the central bank. This means that **monetary policy has to be somewhat tighter than previously thought** in order to keep inflation close to the target in the BCB´s model.

The importance of a consensus. Another split vote, particularly if it mirrors the 5-4 score seen in the last meeting, would be a negative outcome and could affect the Copom's credibility. It would be reasonable to try to achieve a more consensual agreement. It looks more likely that the Copom should build a consensus around a pause now, and set a "wait and see" approach going forward, considering that i) Copom's members seem to unanimously agree that it is important to react to rising inflation expectations and ii) the more orthodox members of the board will probably vote for a pause.

Thus, we have adjusted our terminal Selic rate from 10.00% to 10.50%.

Inflation expectations are on the rise, increasing the challenge for monetary policy ahead
Median of market expectations (%)



What about 2025? On the one hand, the hawkish approach, if confirmed, would give the committee some credibility that would help to re-anchor expectations. Indeed, the model sees room for some further Selic cuts next year, otherwise 2026 forecast would be below the target. Another argument would be that, by then, the Fed will probably be cutting rates, creating a momentum for further easing for Latam central banks.

On the other hand, labor market seems increasingly tight, which may put pressure on IPCA inflation in the coming quarters. Additionally, the Copom may soon lift its estimative of neutral interest rate, considering that global neutral interest rates have likely risen, and that local fiscal policy should remain expansionary in the years to come. That could erase the room for rate cuts in 2025, or even demand some monetary tightening.

Last, but not least, **the Central Bank will have a new governor** next year, which we do not know who it will be, their monetary policy approach.

Considering the unusual amount of uncertainty, we opt to keep our Selic rate forecast flat until the end 2025 for now – even acknowledging the high degree of uncertainty, and that the next BCB administration may favor lower Selic levels.

XP Forecasts

	2019	2020	2021	2022	2023	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.2	1.7
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.3	7.5
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.7	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.50	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	5.00	5.15
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-1.0
Primary balance for target calculation (% GDP)*	–	–	–	–	–	-0.5	-0.7
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.8
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.3	80.5
Trade Balance (USD Bn)	26.5	32.4	36.4	44.2	80.5	65.0	70.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	348.0	365.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	283.0	295.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-40.5	-37.5
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.8	-1.6
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	67.0	73.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.0	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,260	2,408
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,529	12,231

* Excludes court-ordered payments beyond the limits and aid to RS

Source: IBGE, BCB, Bloomberg, XP

Disclaimer

1) This report was prepared by XP Investimentos CCTVM S.A. ("XP Investimentos or XP") according to the requirements provided in CVM Resolution 20/2021 and aims to provide information that can help the investors make their own investment decisions, and does not constitute any kind of offer or purchase request and/or sale of any product. The information contained in this report is considered valid on the date of disclosure and has been obtained from public sources. XP Investimentos is not liable for any decisions made by the customer based on this report.

2) This report was prepared considering the product risk classification in order to generate allocation results for each investor profile.

3) All of the views expressed in this research report accurately reflect the research analyst's personal views regarding any and all of the subject securities or issuers. No part of analyst(s) compensation was, is or will be, directly or indirectly related to the specific recommendations or views expressed in this research report.

4) The signatory of this report declare that the recommendations reflect solely and exclusively their personal analyses and opinions, which have been produced independently, including in relation to XP Investimentos and which are subject to modifications without notice due to changes in market conditions, and that their remuneration are indirectly affected by revenue from business and financial transactions carried out by XP Investimentos.

5) The analyst responsible for the content of this report and the compliance with CVM Resolution 20/2021 is indicated above, and, in the event of an indication of another analyst in the report, the person responsible will be the first accredited analyst to be mentioned in Report.

6) XP Investimentos' analysts are obligated to comply with all the rules laid down in the APIMEC's conduct code for the securities analyst and XP Investimentos' analyst of securities conduct policy.

7) Customer service is carried out by XP Investimentos employees or by autonomous investment agents who perform their activities through XP, in accordance with CVM Resolution 16/2021, which are registered in the national association of brokers and distributors of securities ("ANCORD"). The autonomous agent of investment may not provide consulting, administration or management of customer net worth, and must act as an intermediary and request prior authorization from the client for the realization of any operation in the capital market.

8) The products presented in this report may not be suitable for all types of customer. Before making any decisions, customers should ensure that the products presented are suitable for their investor profile. This material does not suggest any change of portfolio, but only guidance on products suitable to a certain investor profile.

9) The profitability of financial products may present variations and their price or value may increase or decrease in a short period of time. Past performance is not necessarily indicative of future results. Performance disclosed is not net of any applicable taxes. The information present in this material is based on simulations and the actual results may be significantly different.

10) This report is intended exclusively for to the XP Investimentos' network, including independent XP agents and XP customers, and may also be released on XP's website. It is prohibited to reproduce or redistribute this report to any person, in whole or in part, whatever the purpose, without the prior express consent of XP Investimentos.

11) XP Investimentos' ombudsman has the mission to serve as a contact channel whenever customers who do not feel satisfied with the solutions given by the company to their problems. The contact can be made via telephone 0800 722 3710 if you are in Brazil or via ombudsman form if you are in other localities: ttps://institucional.xpi.com.br/ouvidoria.aspx/.

12) The cost of the transactions billing policies are defined in the operational cost tables which are made available on XP Investimentos website: www.xpi.com.br.

13) XP Investimentos is exempt from any liability for any damages, direct or indirect, that come from the use of this report or its contents.

14) Technical analysis and fundamental analysis follow different methodologies. Technical analysis is performed following concepts such as trends, support, resistance, candles, volume, and moving averages, amongst others. Fundamental analysis uses as information the results disseminated by the issuing companies and their projections. In this way, the opinions of fundamental analysts, who seek the best returns given the market conditions, the macroeconomic scenario and the specific events of the company and the sector, may differ from the opinions of technical analysts, which aim to Identify the most likely movements on asset prices, using "stops" limit possible losses.

15) Investment in stocks is appropriate for moderate and aggressive profile investors, according to the suitability policy practiced by XP Investimentos. Equity investments available are portion a company's capital that is traded on the market. Stock is a variable financial investment (i.e. an investment in which profitability is not pre-established and varies depending on market quotations). Investment in stock is a high-risk investment and past performance is not necessarily indicative of future results and no statement or warranty, expressed or implied, is made in this material in relation to future performance. Market conditions, macroeconomic scenario, company and sector specific events can affect investment performance and may even result in significant asset losses. The recommended duration for equity investments is medium-long term. There is no guarantee of investment return for customers' investments in stock.

16) Investment in options is preferably indicated for aggressive profile investors, according to the suitability policy practiced by XP Investimentos. In options market, the purchase or sale rights of a good shall be negotiated at a price fixed at a future date, and the purchaser of the negotiated duty should pay a premium to the seller as in a secure agreement. Operations with these derivatives are considered very high risk for presenting high risk and return relationships and some positions present the possibility of losses higher than the capital invested. The recommended duration for the investment is short-term and the customer's assets are not guaranteed in this type of product.

17) Investment in terms is indicated for aggressive profile investors, according to the suitability policy practiced by XP Investimentos. They are contracts for the purchase or sale of a certain number of shares at a fixed price for settlement within a specified period. The term of the contract is freely chosen by the investors, complying with the minimum period of 16 days and a maximum of 999 days. The price will be the value of the added share of a portion corresponding to the interest-which are set freely on the market, depending on the term of the contract. Every transaction in the term requires a guarantee deposit. These guarantees are provided in two forms: coverage or margin.

18) Investments in futures markets are subject to significant loss of principal, and are therefore appropriate for aggressive profile investors, according to the suitability policies practiced by XP Investimentos. A commodity is an object or price determinant of a future contract or other derivative instrument, which may substantiate an index, a fee, a movable value or a physical product. Commodities are considered high risk investments, which include the possibility of price fluctuation due to the use of financial leverage. The recommended duration for commodity investments is short-term and customers' assets are not guaranteed in this type of product. Market conditions and the macroeconomic scenario can affect the performance investments.

19) This institution is adhering ANBIMA Code of Regulation and best practices for the distribution activity of retail investment products.

20) XP Investments US, LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission, has assumed responsibility for this research for purposes of U.S. law. All transactions arising from this research should be directed to XP Investments US, LLC, at+1 646-664-0525